

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 1373

By: Boles

AS INTRODUCED

An Act relating to commercial solar facilities;
creating the Commercial Solar Facility
Decommissioning Act; defining terms; making certain
agreement provisions void; providing for certain
injunctive relief; stating certain provision are not
exclusive; requiring agreement contain certain
provisions; requiring landowner make certain timely
request; requiring certain financial assurance be
delivered; stating acceptable forms of financial
assurance; requiring certain amount of financial
assurance; assigning certain costs to grantee;
prohibiting certain cancellation of financial
assurance; providing for codification; and providing
an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 820 of Title 17, unless there is
created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Commercial
Solar Facility Decommissioning Act".

1 SECTION 2. NEW LAW A new section of law to be codified

2 in the Oklahoma Statutes as Section 820.1 of Title 17, unless there
3 is created a duplication in numbering, reads as follows:

4 As used in Commercial Solar Facility Decommissioning Act:

5 1. "Generation assets" means all assets associated with the
6 production of electricity, including generation plants, electrical
7 interconnections of the generation plant to the transmission system,
8 fuel contracts, fuel transportation contracts, water contracts,
9 lands, surface or subsurface water rights, emissions-related
10 allowances, and gas pipeline interconnections.

11 2. "Grantee" means a person, other than an electric utility
12 who:

13 a. leases property from a landowner, and

14 b. operates a solar power facility on the property;

15 3. "Solar energy device" means a solar energy collector or
16 solar energy system that provides for the collection of solar energy
17 or the subsequent use of that energy as thermal, mechanical, or
18 electrical energy;

19 4. "Solar power facility" includes:

20 a. a solar energy device; and

21 b. a facility or equipment, other than a facility or
22 equipment owned by an electric utility, used to
23 support the operation of a solar energy device,
24 including an underground or aboveground electrical

transmission or communications line, an electric transformer, a battery storage facility, an energy storage facility, telecommunications equipment, a road, a meteorological tower, or a maintenance yard; and

5. "Solar power facility agreement" means a lease agreement between a grantee and a landowner that authorizes the grantee to operate a solar power facility on the leased property.

SECTION 3. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 820.2 of Title 17, unless there is created a duplication in numbering, reads as follows:

The Commercial Solar Facility Decommissioning Act shall apply only to a solar power facility that is a generation asset as defined in Section 2 of this act.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 820.3 of Title 17, unless there is created a duplication in numbering, reads as follows:

A. A provision of a solar power facility agreement that purports to waive a right or exempt a grantee from a liability or duty established by the Commercial Solar Facility Decommissioning Act is void.

B. A person who is harmed by a violation of the Commercial Solar Facility Decommissioning Act is entitled to appropriate injunctive relief to prevent further violation of the act.

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2 C. The provisions of this section are not exclusive. The
3 remedies provided in this section are in addition to any other
4 procedures or remedies provided by other law.

5 SECTION 5. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 820.4 of Title 17, unless there
7 is created a duplication in numbering, reads as follows:

8 A. A solar power facility agreement shall provide that the
9 grantee is responsible for removing the grantee's solar power
10 facilities from the landowner's property and that the grantee shall,
11 in accordance with any other applicable laws or regulations, safely:

12 1. Clear, clean, and remove from the property each solar energy
13 device, transformer, and substation;

14 2. For each foundation of a solar energy device, transformer,
15 or substation installed in the ground:

16 a. clear, clean, and remove the foundation from the
17 ground to a depth of at least three (3) feet below the
18 surface grade of the land in which the foundation is
19 installed, and

20 b. ensure that each hole or cavity created in the ground
21 by the removal is filled with soil of the same type or
22 a similar type as the predominant soil found on the
23 property;

1 3. For each buried cable, including power, fiber-optic, and
2 communications cables, installed in the ground:

- 3 a. clear, clean, and remove the cable from the ground to
4 a depth of at least three (3) feet below the surface
5 grade of the land in which the cable is installed, and
6 b. ensure that each hole or cavity created in the ground
7 by the removal is filled with soil of the same type or
8 a similar type as the predominant soil found on the
9 property; and

10 4. Clear, clean, and remove from the property each overhead
11 power or communications line installed by the grantee on the
12 property at the request of the landowner.

13 B. The agreement shall provide that, at the request of the
14 landowner, the grantee shall:

15 1. Clear, clean, and remove each road constructed by the
16 grantee on the property; and

17 2. Ensure that each hole or cavity created in the ground by the
18 removal is filled with soil of the same type or a similar type as
19 the predominant soil found on the property.

20 C. The agreement shall provide that, at the request of the
21 landowner, if reasonable, the grantee shall:

22 1. Remove from the property all rocks over twelve (12) inches
23 in diameter excavated during the decommissioning or removal process;
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1 2. Return the property to a tillable state using scarification,
2 V-rip, or disc methods, as appropriate; and

3 3. Ensure that:

4 a. each hole or cavity created in the ground by the
5 removal is filled with soil of the same type or a
6 similar type as the predominant soil found on the
7 property, and

8 b. the surface is returned as near as reasonably possible
9 to the same condition as before the grantee dug holes
10 or cavities, including by reseeding pastureland with
11 native grasses prescribed by an appropriate
12 governmental agency, if any. Noninvasive grasses
13 shall be allowed when reseeding native grasses isn't
14 economically feasible.

15 D. The landowner shall make a request under subsection B or C
16 of this section not later than the one hundred eightieth day after
17 the later of:

18 1. The date on which the solar power facility is no longer
19 capable of generating electricity in commercial quantities; or

20 2. The date the landowner receives written notice of intent to
21 decommission the solar power facility from the grantee.

22 SECTION 6. NEW LAW A new section of law to be codified
23 in the Oklahoma Statutes as Section 820.5 of Title 17, unless there
24 is created a duplication in numbering, reads as follows:

1 A. A solar power facility agreement shall provide that the
2 grantee obtain and deliver to the landowner evidence of financial
3 assurance that conforms to the requirements of this section to
4 secure the performance of the grantee's obligation to remove the
5 grantee's solar power facilities located on the landowner's property
6 as described by Section 5 of this act. Acceptable forms of
7 financial assurance include a parent company guaranty with a minimum
8 investment grade credit rating for the parent company issued by a
9 major domestic credit rating agency, a letter of credit, a bond, or
10 another form of financial assurance reasonably acceptable to the
11 landowner.

12 B. The amount of the financial assurance must be at least equal
13 to the estimated amount by which the cost of removing the solar
14 power facilities from the landowner's property and restoring the
15 property to as near as reasonably possible the condition of the
16 property as of the date the agreement begins exceeds the salvage
17 value of the solar power facilities, less any portion of the value
18 of the solar power facilities pledged to secure outstanding debt.

19 C. The agreement shall provide that:

20 1. The estimated cost of removing the solar power facilities
21 from the landowner's property and restoring the property to as near
22 as reasonably possible the condition of the property as of the date
23 the agreement begins and the estimated salvage value of the solar
24

1 power facilities must be determined by an independent, third-party
2 professional engineer licensed in this state;

3 2. The grantee shall deliver to the landowner an updated
4 estimate, prepared by an independent, third-party professional
5 engineer licensed in this state, of the cost of removal and the
6 salvage value:

7 a. on or before the tenth anniversary of the commercial
8 operations date of the solar power facilities; and

9 b. at least once every five (5) years after the
10 commercial operations date of the solar power
11 facilities for the remainder of the term of the
12 agreement; and

13 3. The grantee is responsible for ensuring that the amount of
14 the financial assurance remains sufficient to cover the amount
15 required by subsection B of this section, consistent with the
16 estimates required by this subsection.

17 D. The grantee is responsible for the costs of obtaining
18 financial assurance described by this section and costs of
19 determining the estimated removal costs and salvage value.

20 E. The agreement must provide that the grantee shall deliver
21 the financial assurance not later than the earlier of:

22 1. The date the solar power facility agreement is terminated;
23 or
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1 2. The twentieth anniversary of the commercial operations date
2 of the solar power facilities located on the landowner's leased
3 property.

4 F. For purposes of this section, "commercial operations date"
5 means the date on which the solar power facilities are approved for
6 participation in market operations by a regional transmission
7 organization and does not include the generation of electrical
8 energy or other operations conducted before that date for purposes
9 of maintenance and testing.

10 G. The grantee may not cancel financial assurance before the
11 date the grantee has completed the grantee's obligation to remove
12 the grantee's solar power facilities located on the landowner's
13 property in the manner provided by this act, unless the grantee
14 provides the landowner with replacement financial assurance at the
15 time of or before the cancellation. In the event of a transfer of
16 ownership of the grantee's solar power facilities, the financial
17 security provided by the grantee shall remain in place until the
18 date evidence of financial security meeting the requirements of this
19 act is provided to the landowner.

20 SECTION 7. This act shall become effective November 1, 2025.

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